

HEDGEYE DAILY DIGEST

Wednesday, 23 September 2026 (GMT+8)

Hedgeye's most recent publishing day was **Tuesday 22 September 2026 ET** — the evening of 22 September in GMT+8. The bubble went back up: **SPY** and **QQQ** flipped back to **Bullish TRADE**, detonating a **#Quad2** short squeeze led by Bitcoin-sensitive equities (+5.1%), high-retail-sentiment names (+4.9%) and the most-shortened basket (+2.3%), with **META +11.4%** — its best day in **17 months**. But the machinery underneath is turning hostile: **10s/2s** has been crushed to new cycle lows of **+19bps**, the **US Dollar** and **UST 2yr** signal higher-highs, and Hedgeye's September **CPI Nowcast** has accelerated to **3.67% y/y** from **3.40%** reported. The response was not to fade the squeeze but to rotate into it: new long **Energy (XLE)** and **Brent (BNO)**, new long bond volatility (**PFIX**), gold cut below minimum size.

Today's Publications

EARLY LOOK - "Jail's #Quad2 Squeeze!"

Early Look | Keith McCullough | 22 Sept, 07:26 EDT (19:26 GMT+8)

McCullough opens on Taylor Sheridan's prison survival manual as an analogy for short-selling discipline: rules first, feelings never. The substance is that **SPY** and **QQQ** flipping back to **Bullish TRADE** forced him to cover all but one short in Real-Time Alerts — and that this is exactly what a **#Quad2** tape does. His framing of the **#MOAB** ("Mother of All Bubbles") is explicitly non-bearish in the near term: the bubble going back up is the point — a bubble, not a ceiling.

The squeeze was factor-driven. The top three US equity factor moves were the **Bitcoin-Sensitive basket +5.1%**, the **High Retail Sentiment basket +4.9%** and the **Hedge Fund Consensus Short basket +2.3%** — meaning Hedgeye's longs in **IBIT** and **ETHA** sat directly on the day's number-one factor exposure, alongside the **May addition of Software (IGV)**. Retail chased AI "Muse" memes through **META**, which rose **+11.4%**; McCullough's process flipped **META** from bearish to bullish on signal, and he calls it one of the better pivots the model has made.

Bullish TREND is concentrated and narrow: **META**, **MSFT**, **AAPL**, **GOOGL**, **NVDA**, plus **SPCX** and **TXG**. The divergence against everything else is the point of the note — the **Russell 2000 (IWM)** barely bounced and remains in a **-6.3%** drawdown, while Hedgeye's number-one sector short **Utilities (XLU)** fell another **-1.1%** to **-10.3%** for **Q3 alone**.

Beneath the rally, three macro signals turned: the **yield curve was smashed to new #Quad2 cycle lows at +19bps on 10s minus 2s**; both **USD** and the **UST 2yr yield** are signalling higher-lows and higher-highs; and the models generated fresh buy signals in **Brent Oil (BNO)** and **Large Cap Energy (XLE)**. McCullough draws the uncomfortable parallel directly — as **MOAB Part I** was about to implode the crypto bubble at the end of **2021**, his curve signal collapsed the same way, running from **+48bps** to **-108bps**.

Investment implication: trade the squeeze with rules, not narrative. Own the handful of large-cap growth names that actually carry **Bullish TREND** signals, buy oil and energy on the pullback, stay short rate-sensitives and small caps, and treat the flattening curve as the real warning to monitor rather than a reason to short the index today.

Risk Range™ Signals — 22 September 2026

Asset	Immediate-Term Range	TREND
10-Year UST Yield (UST10Y)	4.85 - 5.10	Bullish
High Yield (HYG)	78.28 - 78.98	Bearish
Inv. Grade Corp Bonds (LQD)	103.6 - 105.6	Bearish
S&P 500 (SPX)	7532 - 7797	Bullish
NASDAQ Composite (COMPQ)	25901 - 27305	Bullish
Russell 2000 (RUT)	2834 - 2825	Bearish
Health Care (XLV)	164 - 171	Bullish
Tech-Software (IGV)	102 - 110	Bullish
Energy (XLE)	61.57 - 65.98	Bullish
Volatility Index (VIX)	14.24 - 17.85	Bearish
U.S. Dollar Index (USD)	99.68 - 100.99	Bullish
WTI Crude (WTIC)	90.17 - 108.16	Bullish
Natural Gas (NATGAS)	2.74 - 2.96	Bearish
Gold Spot (GOLD)	4244 - 4399	Neutral
Copper Spot (COPPER)	6.35 - 6.80	Bullish
Silver Spot (SILVER)	62 - 66	Bearish

MOMO TRACKER

Momentum Stock Tracker | Christian Drake & Ryan Ricci | 22 Sept, 08:08 EDT (20:08 GMT+8)

The dashboard headline carries the data: **Mag7 +3.4%**, **GOOGL = BULLISH**, **NVDA = NEUTRAL**, **META +11%**, with the tracker's risk range framed as **+1% / -10%** and the **Nasdaq at an all-time high**. The asymmetry in that range is the tell — roughly **1%** of upside inside the range against **10%** of downside, on a day the index printed a record. The body of the product is chart-and-table only, so there is no additional narrative; MOMO uses the Risk Range signals as published that morning and does not reflect intraday updates.

THE MACRO SHOW - SUMMARY NOTES

The Macro Show | 22 Sept, 10:34 EDT (22:34 GMT+8)

The most position-dense item of the day. **Bullish/long**: Oil (WTI, Brent), Energy (XLE), U.S. Dollar, bond market volatility (PFI), Petrobras (PBR), Software (IGV), AAPL, MSFT, META, Bitcoin, Ethereum, and Gold (AAAU) — reduced below minimum size. **Bearish/short**: Utilities (XLU), Industrials (XLI), Russell 2000 (IWM), India, Switzerland (new), Germany (new), with the semiconductor short covered.

Oil and Energy — new buying with defined stops. McCullough said he began buying oil personally, building incrementally rather than at once, with **WTI around 91/87** for trade/trend and **Brent around 97/90**; Brent had broken neither. **Energy (XLE)** was bought on sale as a **new asset allocation** alongside long **PFI**. **WTI trend support is \$87** against a risk range of **\$90.17-\$108.16**. Daryl Jones also issued a Real-Time Alert buy in **PBR**.

The yield curve is the biggest macro warning since 2022. He called the collapsing curve "probably the biggest problem" since early 2022, with **10s/2s at roughly 19bps** — explicitly not a setup to buy financials. Compounding it, Hedgeye's **September CPI Nowcast has risen to 3.67% y/y** versus **3.40%** last reported, an accelerating rate of change that argues for higher-for-longer yields and a hawkish Fed.

Long the leaders, not the index. The **Nasdaq Composite** hit an all-time high but Hedgeye is not long it — it is long **AAPL**, **MSFT** and **META**, all Signal Strength names, plus **Software (IGV)**. He called **META** one of the best bearish-to-bullish pivots the process has produced, with **MSFT** close behind.

Dollar confirms the bond message. The **USD** remains bullish after flipping on **17 Sept**; McCullough treated it as the currency market corroborating what yields are saying, and warned that "stocks-only" investors are blind to both the dollar and curve signals.

Quad2 is not a mandate to short everything. Short **XLU** (down more than **10% QTD**) and **XLI**, while staying long the mega-caps whose signals work. His governing rule, repeated: "If it doesn't have signal, we don't put it on."

Small caps and semis. Still short **Russell 2000**, but only at minimum size after it hit the low end of range; it remains more than **6%** below its all-time high. **NVDA**, **AMD** and **META** accounted for roughly a quarter of the prior day's market move, and he covered the semiconductor short — taking the stop when the signal changes.

Global shorts. Short **India** maintained; rather than add US shorts into the rally he initiated **Switzerland**, then added **Germany**. **China** still failed to confirm the positive US-China headline narrative and **Japan** remained weak.

Crypto, metals, flows. **Bitcoin** and **Ethereum** both working, with Bitcoin-sensitive equities the strongest factor at over **+5%** — but explicitly do not chase BTC on strong up days. **Silver** is bearish trade and trend; **gold** is bearish trade and turns bearish trend below roughly **4,250** — silver was sold, gold miners exited, gold cut below minimum with **AAAU** retained. On flows, **gamma flipped from negative to positive** as SPX reclaimed immediate-term trade, which stopped him adding shorts; he warns that short-dated vol compressing back toward **10-12** sets up a dangerous reversal.

CAPITAL ALLOCATION PRO - DAILY DASHBOARD

Capital Allocation Pro | Andrew Nanai & David Salem | 22 Sept, 08:49 EDT (20:49 GMT+8)

Model Portfolio changes take effect using closing prices on **Thursday 17 September 2026**. Housekeeping of note: **Trend and Tail levels for the 68 ETFs** were refreshed on **28 August** closing prices under the standard **3-4 week** cycle, and the coverage universe was amended — **BNO (Brent)** and **USO (WTI)** added, **MBB** (mortgage-backed) and **PFF** (preferred) dropped. The commodity substitution lines up neatly with the same morning's energy buy signals. A Key Callouts video was recorded **10 September**; September monthly commentary posted **2 September**.

ETF PRO PLUS - 4 NEW CHANGES

ETF Pro Plus | 22 Sept, 10:27 EDT (22:27 GMT+8)

Adding long: Oil Refiners (CRAK), Tanker Shipping (BWET). **Adding short: Consumer Discretionary (XLY), High Yield Bonds (HYG).** The refiner and tanker adds extend the energy rotation down the value chain; the **HYG** short is consistent with the Early Look's bearish **HYG** signal at **78.28-78.98**, and shorting **XLY** alongside a record Nasdaq is a clean expression of the "internals deteriorating beneath the index" thesis.

SIGNAL STRENGTH STOCKS - 49 STOCKS (7 ADDED, 0 REMOVED)

Signal Strength Stocks | 22 Sept, 11:18 EDT (23:18 GMT+8)

The count rose from **35** on Monday morning to **42** by Monday midday to **49** on Tuesday — **14 net additions in two sessions** with **zero removals**, a fast broadening of bullish signal strength. Tuesday's seven adds are almost entirely energy: **SHEL**, **PSX**, **MPC**, **VLO**, **DINO**, plus **U** and **ILMN**. Four US refiners appearing simultaneously is the single-stock confirmation of the **CRAK** and **XLE** adds.

DIGITAL ASSETS - POSITION MONITOR

Digital Assets | Josh Steiner, Christian Drake, Matthew Cooper | 22 Sept, 07:04 EDT (19:04 GMT+8)

RIOT, **TRX** and **BLSH** moved from the **Short Bench** to the **Long Bench** — a notable reversal for **BLSH**, which had been a Best Idea Short. Consistent with Bitcoin-sensitive equities leading the squeeze at **+5.1%**.

NOT ACCESSIBLE

Macro | 22 Sept, 14:50 EDT (23 Sept, 02:50 GMT+8)

EVENT | Q4 2026 Macro Themes is the only item falling strictly on today's GMT+8 date, but it sits outside the current subscription entitlements and could not be read. Worth requesting access given it sets next quarter's Quad map.

Yesterday's Publications

EARLY LOOK - "Sneaky #Quad2 Signals"

Early Look | Keith McCullough | 21 Sept, 07:25 EDT (19:25 GMT+8)

What: The Macro Monday note, framing the week's biggest signal change as the **US Dollar** breaking out to **Bullish TRADE and TREND**.

Why: Because **UST 2yr yields** broke out another **+13bps** week-over-week to new cycle highs — the pattern Hedgeye associates with **#Quad2** data being reported on a lag, after which the long end peaks, the short end outruns it, and the curve moves from flattening to inverting as the Fed tightens into a slowdown.

Who: **USD +1.1%** on the week; **EUR/USD -1.3%** (bearish **TRADE** and **TREND**); **Japanese Yen -2.5%** (bearish **TRADE**, bullish **TREND**); **GBP/USD -1.3%**; **Canadian Dollar -1.0%**; **Swiss Franc -1.1%** — the last directly relevant to the short in Swiss equities (**EWL**). Hedgeye tracks all **50** currency and country signals.

Key numbers: **10s minus 2s -28bps flatter** over the month. **Financials (XLF) -2.4%** on the week, **-3.4%** on the month. **Utilities (XLU) -3.0%** weekly, **-6.6%** monthly. **Industrials (XLI) -1.5%** weekly, **-7.5%** monthly. **Healthcare (XLV) +1.8%** weekly with a **+12.7%** three-month trending return against **IWM** at **-4.0%**. **WTI's** trending three-month return: **+35.2%**.

Takeaway: A flattening curve during a **#Quad2** yield breakout is poison for rate-sensitives — the long **XLV** / short **XLF**, **XLU**, **XLI**, **IWM** book is the intended expression, and the dollar breakout is the cross-asset signal that validates it.

THE MACRO SHOW - SUMMARY NOTES

The Macro Show | 21 Sept, 10:15 EDT (22:15 GMT+8)

What: Long **IBIT**, **ETHA**, **Corn (CORN)**, **META**; short **IWM**, **Switzerland (EWL)**, **Swiss Franc**, **Germany (EWG)**, **XLI**, **XLU**.

Why: The dollar breakout reframes everything — a stronger USD is a marginal headwind for gold, EM and bonds, and the **2yr yield signal is described as even more bullish than the dollar signal** while the curve keeps flattening.

Key numbers: **SPX** was set to flip from Bearish to Bullish TRADE if it held roughly **7656**, with dealer gamma moving out of negative territory — making the tape fadeable rather than chaseable. Hedgeye is not short SPX; it is short **Russell 2000**, then **-6.8%** from its cycle peak. Signal strength was running roughly **35 bullish versus 80 bearish**, a ratio flagged as the thing to watch for internal stabilisation. **XLU** was down more than **9%** on the quarter.

How: Crypto handled tactically — **trim Bitcoin into strength, do not abandon the long**, with both BTC and ETH flagged immediate-term overbought; he rejected the idea that a bullish dollar mandates bearish Bitcoin, since the short-run correlation has weakened. The semiconductor short was put on late the prior week with a tight stop — roughly **0.6%** against him and he exits rather than defend an "AI bubble" thesis (he covered it the next day). European positioning turned defensive: **Germany** added short beside **Switzerland**, no long European country exposure, the **Euro** long exited. **Corn** long tied to potential Chinese purchases. **WTI** was a watch-for-a-buy near the low end of range, not yet a position. **Gold** neutral pending bearish TREND confirmation; **silver** back to bearish TREND but held neutral.

Takeaway: Use countertrend strength to clean up — sell what is broken on both TRADE and TREND, re-add shorts into favourable rebounds, and harvest overbought winners. The bounce is an opportunity to reset risk, not to re-rate the thesis.

ETF PRO PLUS - 5 NEW CHANGES

ETF Pro Plus | 21 Sept, 10:24 EDT (22:24 GMT+8)

What: Adding long — **Commodity Strategy (HGER)**, **Brent Oil (BNO)**. Adding short — **Palladium (PALL)**. Removing short — **Semiconductors (SMH)** at **531.0-588.0** and **Quantum Tech (QTUM)** at **139.0-152.0**.

Why: The inflation-nowcast acceleration argues for commodity and energy exposure; the semis and quantum covers reflect signals flipping back bullish — the discipline McCullough described on the show.

Takeaway: The rotation into real assets began a day before the **XLE** allocation — **BNO** was the leading edge.

ALSO PUBLISHED 21 SEPTEMBER

Various | 21 Sept EDT

Capital Allocation Pro | Daily Dashboard — 09:09 EDT (21:09 GMT+8).

Signal Strength Stocks — **35 stocks** (0 added, 0 removed) at 09:23 EDT, then **42 stocks** (7 added, 0 removed) at 11:42 EDT (23:42 GMT+8).

MOMO Tracker — **Mag7 -0.2%**, **High Beta Momo +1.8%**, **NVDA = BULLISH**, **GOOGL = NEUTRAL**, described as an "interesting spot" — 08:06 EDT.

Crypto Quant — **BTC +4.2%**, **COIN / MARA / BLOK / CRCL = BULLISH**, **\$750M** of shorts liquidated, **ETF inflows +\$577M D/D** — 07:26 EDT.

From the Desk | Hedgeye Process Sheets — 14:37 EDT (22 Sept, 02:37 GMT+8).

Watch list into the next session: whether **10s/2s** holds above zero from **+19bps**; whether the **September CPI Nowcast** at **3.67%** keeps rising; whether **WTI** holds **\$87** trend support; and whether short-dated volatility compresses to the **10-12** zone McCullough flagged as the dangerous setup.